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Acer Inc. | Asia Pacific

2Q26 OpM missed our estimate but was in line with the Street; stay UW

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Meaningful upside

Financial results versus consensus



Largely unchanged

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Acer's 2Q GM expansion of 20bps aligns with our view that OEM pricing power is different this cycle.
- However, valuation looks unattractive at 19x CY27e P/E vs. Lenovo's <12x F28e P/E.
- 2Q26 product mix: computers + displays 65.6% (+30bps q/q), non-PC 34.4% (-30bps q/q).

2Q details:

- GM was 11.4% (+20bps q/q, +130bps y/y), slightly (10bps) below our estimate, but 20bps above the Street. The improvement likely came from better pricing power, which we mentioned in our [Lenovo report](#).
- Opex of NT\$7.3bn, higher than our NT\$6.6bn estimate.
- Thus, OP was NT\$1,783mn (+122% q/q, +143% y/y), 14% below our estimate, but in line with the Street. OpM was 2.1% (+100bps q/q, +100bps y/y), 70bps below our estimate, but in line with the Street.
- However, non-op income of NT\$2,107mn was higher than our estimate/the Street, consisting mainly of FX gains (NT\$332mn) and investment income (NT\$377mn).
- Therefore, NP was NT\$2,172mn (+209% q/q, +100% y/y), 49% above our estimate and 51% above the Street, for EPS of NT\$0.72.

Stay UW: We have turned more positive on OEMs' pricing power, but Acer remains the OEM that has low-end and consumer exposure, making it harder to be defensive on units and price, relative to OEMs with higher commercial/enterprise exposure. We view CY27 P/E of 19x as unattractive, compared to regional peers like Lenovo (rated OW) at <12x F28e P/E.

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Acer Inc. (2353.TW, 2353 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Underweight
Industry View	In-Line
Price target	NT\$21.00
Up/downside to price target (%)	(30)
Shr price, close (Aug 6, 2026)	NT\$30.00
52-Week Range	NT\$44.20-25.00
Sh out, dil, curr (mn)	3,082
Mkt cap, curr (mn)	NT\$92,475
EV, curr (mn)	NT\$100,568
Avg daily trading value (mn)	NT\$949

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	1.26	1.54	1.61	1.53
EPS (NT\$)§	1.32	1.62	1.80	1.53
Revenue, net (NT\$ mn)	275,628	302,174	307,092	307,447
EBITDA (NT\$ mn)	8,401	11,981	12,728	12,952
ModelWare net inc (NT \$ mn)	5,007	4,626	4,840	4,608
P/E	15.9	19.5	18.6	19.6
P/BV	0.8	1.2	1.1	1.0
ROE (%)	6.0	4.7	6.3	5.5
EV/EBITDA	10.4	11.3	10.5	10.1
Div yld (%)	7.2	4.4	0.0	0.0
Leverage (EOP) (%)	(9.8)	32.1	28.0	22.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Exhibit 1: 2Q26 results summary

Year to Dec. 31 (NT\$m)	Actual 2Q26	Q/Q	Y/Y	MSe 2Q26E	Diff. %	Cons. 2Q26E	Diff. %
Net sales	85,303	18%	28%	75,560	13%	85,296	0%
COGS	(75,603)			(66,906)		(75,796)	
Gross profit	9,701	20%	44%	8,655	12%	9,500	2%
Operating expenses	(7,251)			(6,574)		(7,719)	
Operating income	1,783	122%	143%	2,081	-14%	1,781	0%
Non-operating income	2,107			228		427	
Pre-tax income	3,890	121%	116%	2,309	68%	2,208	76%
Income tax	(1,094)			(623)		(767)	
Net income	2,172	209%	100%	1,455	49%	1,440	51%
EPS (NT\$)	0.72			0.48	49%	0.48	51%
Margins		ppt	ppt		ppt		ppt
Gross margin	11.4%	0.2	1.3	11.5%	-0.1	11.1%	0.2
Operating margin	2.1%	1.0	1.0	2.8%	-0.7	2.1%	0.0
Pretax margin	4.6%	2.1	1.9	3.1%	1.5	2.6%	2.0
Net margin	2.5%	1.6	0.9	1.9%	0.6	1.7%	0.9

Source: Company data, Morgan Stanley Research estimates.

Valuation Methodology and Risks

Lenovo (0992.HK)

Base case, residual income model. Our key assumptions include a cost of equity of 9.3% (based on a beta of 1.1, risk-free rate of 2.0%), a medium-term growth rate of 5.0%, and a terminal growth rate of 3.0%.

Risks to Upside

- Faster-than-expected smartphone and data center turnaround
- Stronger PC demand recovery in China
- Better cost savings and improved product mix
- Lower-than-expected increase in memory price

Risks to Downside

- Slower-than-expected smartphone and data center turnaround
- Weaker PC demand recovery in China
- Deterioration in cost savings and product mix
- Higher-than-expected increase in memory price

Acer Inc. (2353.TW)

Base case, residual income model. We use RI model for Acer's valuation. Key assumptions include a cost of equity of 9.2% (beta of 0.9, equity risk premium of 10.2% and risk-free rate of 0.5%), a 6.0% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Stronger macro recovery than expected
- Share gains in the PC market
- Better-than-expected cost controls
- Lower-than-expected increase in memory cost

Risks to Downside

- Weaker macro recovery than expected
- Share loss in the PC market
- Worse-than-expected cost controls
- Higher-than-expected increase in memory cost

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(as of July 31, 2026)

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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Acer Inc. (2353.TW) - As of 08/06/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : U/I; 5/1/23 : E/I; 4/23/25 : U/I

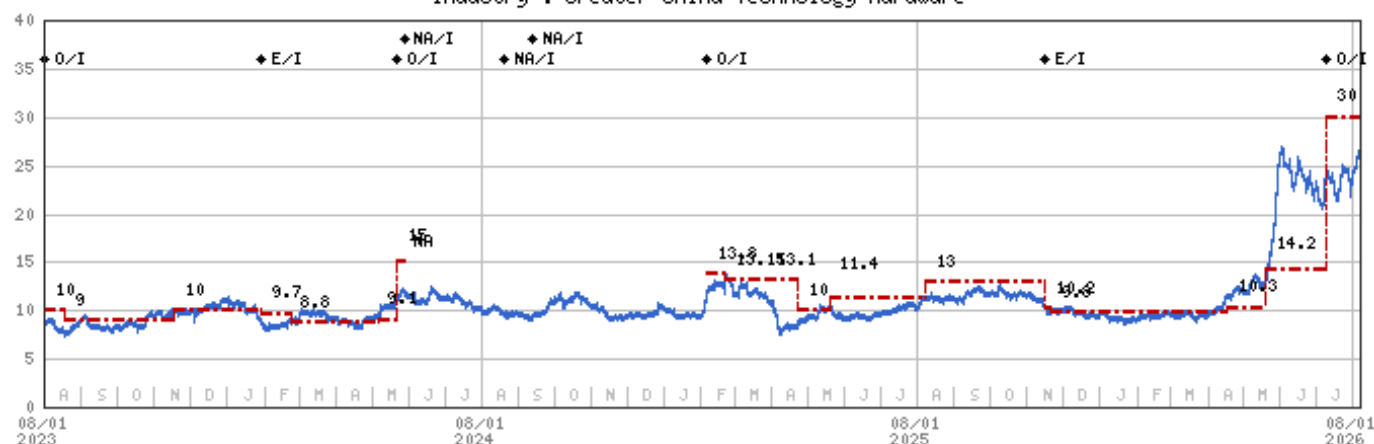
Price Target History: 7/23/21 : 21.5; 3/7/22 : 23; 5/6/22 : 22.5; 7/15/22 : 17; 10/6/22 : 15.5; 1/30/23 : 14.6; 3/17/23 : 15.5; 5/1/23 : 24; 8/1/23 : 29; 5/22/24 : 45; 3/11/25 : 40; 4/23/25 : 26; 11/16/25 : 20; 4/17/26 : 21

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Lenovo (0992.HK) - As of 08/06/26 GMT in HKD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : E/I; 5/1/23 : O/I; 1/29/24 : E/I; 5/22/24 : O/I; 5/28/24 : NA/I; 8/20/24 : NA/I; 9/12/24 : NA/I; 2/5/25 : O/I; 11/16/25 : E/I; 7/10/26 : O/I

Price Target History: 7/23/21 : 8.4; 8/12/21 : 9; 11/5/21 : 9.5; 2/21/22 : 9.8; 3/7/22 : 8.5; 5/24/22 : 7.5; 7/15/22 : 7.2; 8/10/22 : 7.6; 10/6/22 : 6.6; 11/3/22 : 6.7; 1/18/23 : 6.5; 2/20/23 : 6.4; 5/1/23 : 10.4; 5/25/23 : 10.3; 8/1/23 : 10; 8/18/23 : 9; 11/17/23 : 10; 1/29/24 : 9.7; 2/23/24 : 8.8; 5/6/24 : 9.1; 5/22/24 : 15; 5/28/24 : NA; 2/5/25 : 13.8; 2/20/25 : 13.15; 3/27/25 : 13.1; 4/23/25 : 10; 5/19/25 : 11.4; 8/6/25 : 13; 11/16/25 : 10.2; 11/21/25 : 9.8; 4/17/26 : 10.3; 5/19/26 : 14.2; 7/10/26 : 30

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.04
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb175.49
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.98
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.01
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.02
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb421.87
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$547.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.44
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.77
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb37.45
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,625.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.45
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.74
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.90
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.99
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.18
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb49.52
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$35.32
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.40
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$58.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb225.28
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.76
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.86
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb328.25
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$117.30
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb105.07
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.32
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb955.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$24.94
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.70
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,410.00
Advantech (2395.TW)	O (01/20/2021)	NT\$622.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,560.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,940.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,060.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,370.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.96
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,235.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,975.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,680.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$196.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,760.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$362.00
Innolux (3481.TW)	E (04/07/2025)	NT\$50.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$10,100.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.82
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$252.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.82
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.71

Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb208.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$30.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$818.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.30
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.89
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb68.27
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$344.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$985.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$264.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb76.79
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,375.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$25.94
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,970.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,105.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$302.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb127.25
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb353.99
Unimicron (3037.TW)	O (02/23/2026)	NT\$973.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$372.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$189.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,265.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$570.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$482.00

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